

things are framed. So if we used *measuring* for the table, and *forecasting* for risk, we would have fewer turkeys blowing up from Black Swans.

Mixing vocabulary has been very common in history. Let me take the idea of chance again. At some point in history the same Latin word, *felix* (from *felicitas*) was used to designate both someone lucky and someone happy. (The conflation of happiness and luck was explainable in an antique context: the goddess Felicitas represented both.) The English word *luck* comes from the Germanic *Glück*, happiness. An ancient would have seen the distinction between the two concepts as a waste, since all lucky people seem happy (not thinking that one could be happy without being lucky). But in a modern context we need to extricate luck from happiness—utility from probability—in order to perform any psychological analysis of decision making. (True, it is hard to disentangle the two from observing people making decisions in a probabilistic environment. People may be so fearful of bad things that may happen to them that they tend to overpay for insurance, which in turn may make us mistakenly think that they believe the adverse event has a high probability.) So we can see now that the absence of such precision made the language of the ancients quite confusing to us; but to the ancients, the distinction would have been a redundancy.

A SOCIETY ROBUST TO ERROR

I will only very briefly discuss the crisis of 2008 (which took place after the publication of the book, and which was a lot of things, but *not* a Black Swan, only the result of fragility in systems built upon ignorance—and denial—of the notion of Black Swan events. You know with near certainty that a plane flown by an incompetent pilot will eventually crash).

Why briefly? *Primo*, this is not an economics book, but a book on the incompleteness of knowledge and the effects of high-impact uncertainty—it just so happens that economists are the most Black-Swan-blind species on the planet. *Secundo*, I prefer to talk about events *before* they take place, not *after*. But the general public confuses the prospective with the retrospective. The very same journalists, economists, and political experts who did not see the crisis coming provided abundant ex-post analyses about its inevitability. The other reason, the real one, is that the crisis of 2008 was not intellectually interesting enough to me—there is nothing in the developments that had not happened before, at a smaller scale (for example, banks losing in 1982 every penny they ever made). It was merely a financial opportunity for me, as I will discuss further